

Power BI Project Report Retail Customer Retention Analytics – ADIDAS

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Video Link : <https://www.loom.com/share/f927b9df212d45838d2f8066550ecdc4>

Project Overview: Adidas, a global leader in sportswear and lifestyle products, operates across multiple countries through retail stores, franchise outlets, and e-commerce platforms. With intense competition from brands like Nike and Puma, along with rising customer expectations in digital shopping experiences, retaining customers has become a critical challenge. Although Adidas collects vast data on customer purchases, online interactions, and loyalty programs, their current reporting lacks the analytical depth to:

- Understand why customers are churning?
- Identify loyal vs. at-risk customers
- Measure the impact of loyalty tiers, promotions, and influencer-driven campaigns
- Guide region- and channel-specific retention strategies

Project Objective: Develop a robust, interactive Customer Retention Analytics Dashboard in Power BI using Adidas data that will:

- Consolidate customer demographics, purchase history, store/e-commerce performance, and loyalty data
- Enable dynamic segmentation of high-value, repeat, and churned customers
- Provide actionable insights to improve customer retention, loyalty engagement, and regional strategies

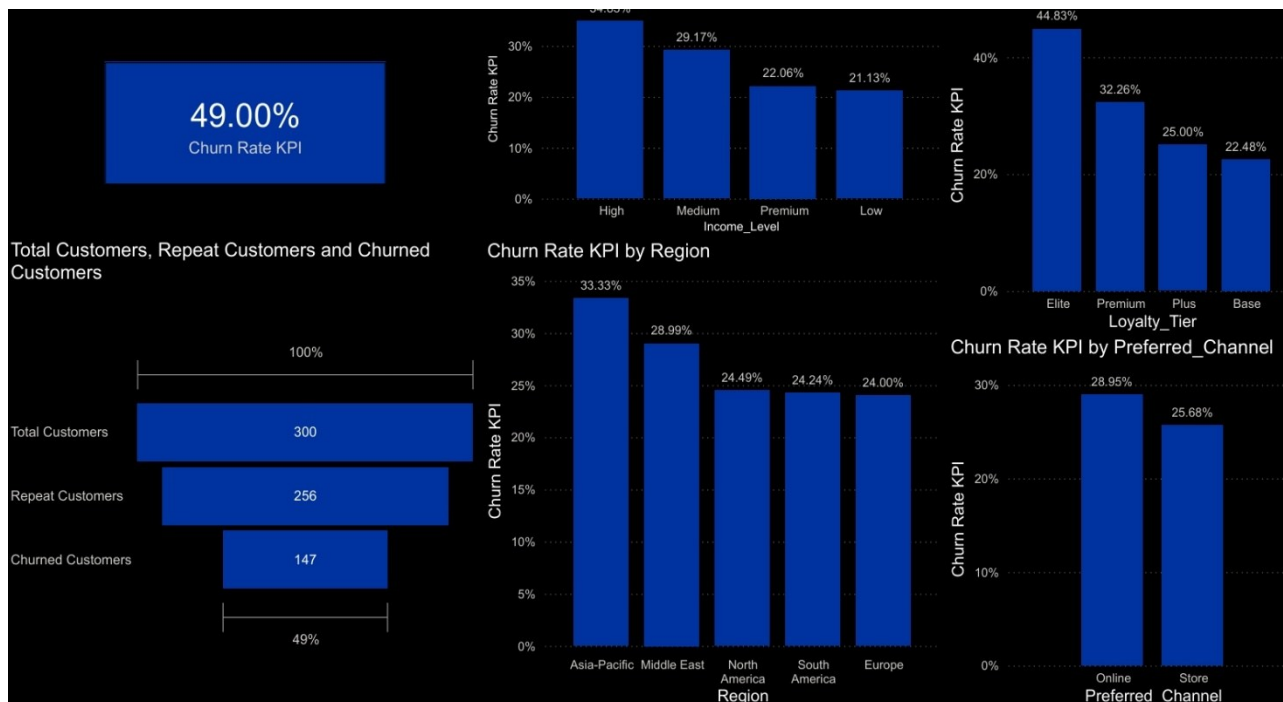
Model View

Power BI Project

Report Task 1: Data Modeling & Cleaning –

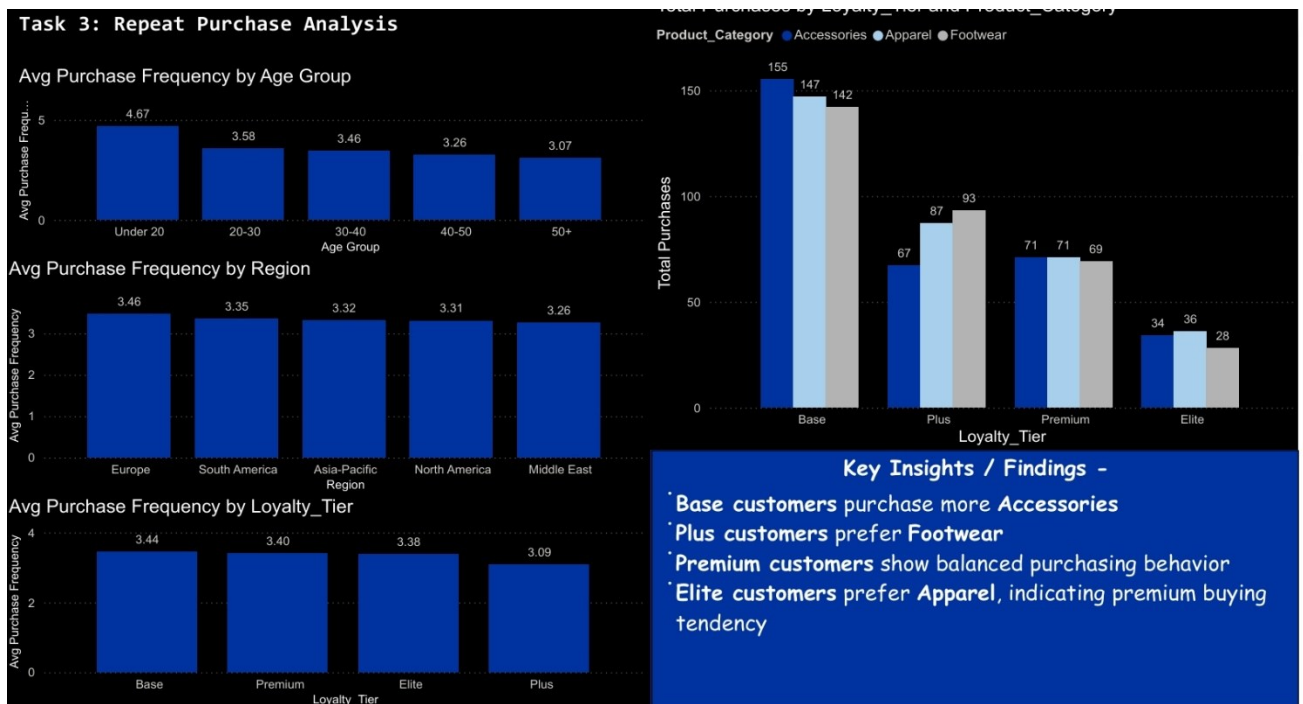
Data was loaded successfully and was transformed using Power Query to clean the data and make it well structured. The data was handled for duplicates and missing values, the Data types were assigned to the columns appropriately. The columns - Membership_Duration, Transaction_Year and Transaction_Month were calculated based on the day the task was done and created in Customers Demographic table and Customers Transaction respectively.

Task 2: Churn & Retention Metrics-



Key Insights for task 2 –

- Churn Rate measure was created using $(\text{Churned Customers} / \text{Total Customers})$ which gives the Churn Rate KPI as 49%.
- This shows that almost over half the customers have dropped out or no longer engaged with Adidas.
- The High-Income groups and Elite loyalty tiers have higher number of churned customers.
- Online channels have higher rate of churned customers than the store channels.



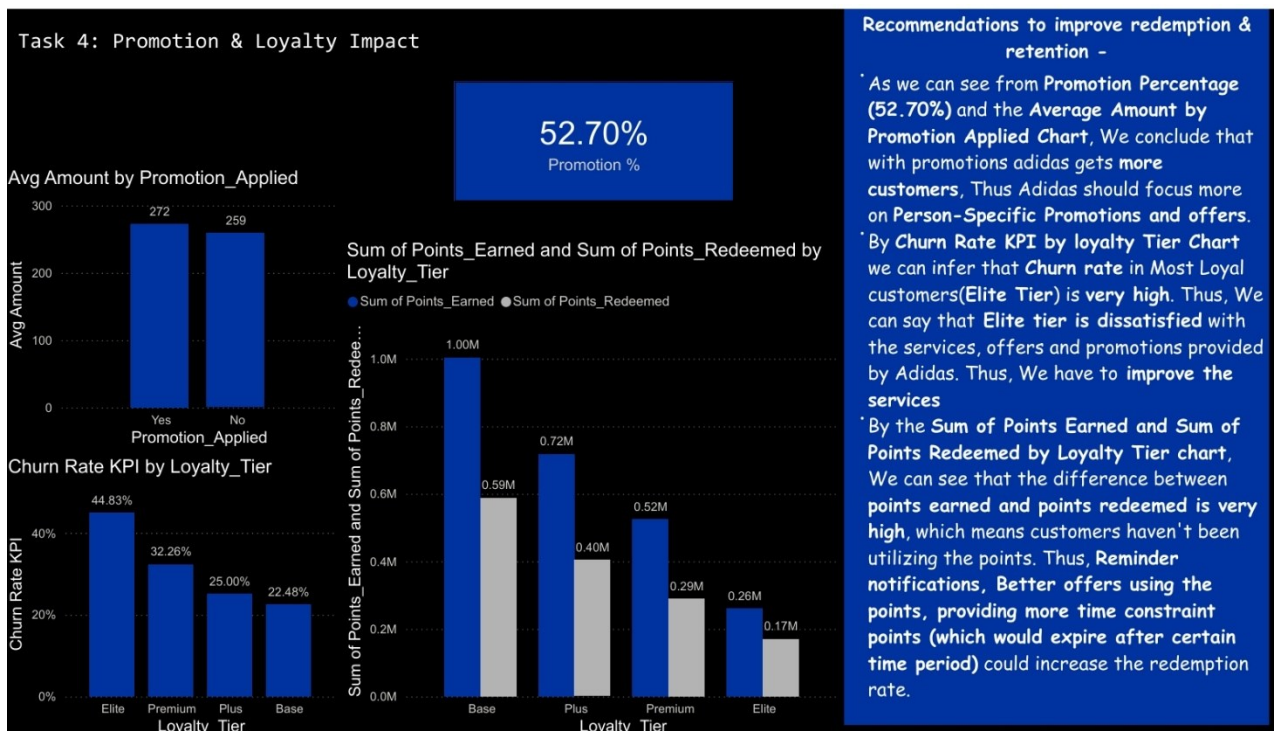
3: Repeat Purchase Analysis –

Key Insights for task 3 –

- Base tier customers purchase more Accessories
- Plus tier customers prefer Footwear
- Premium customers show balanced purchasing behaviour
- Elite customers prefer Apparel, indicating premium buying tendency

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Task 4: Promotion & Loyalty Impact –



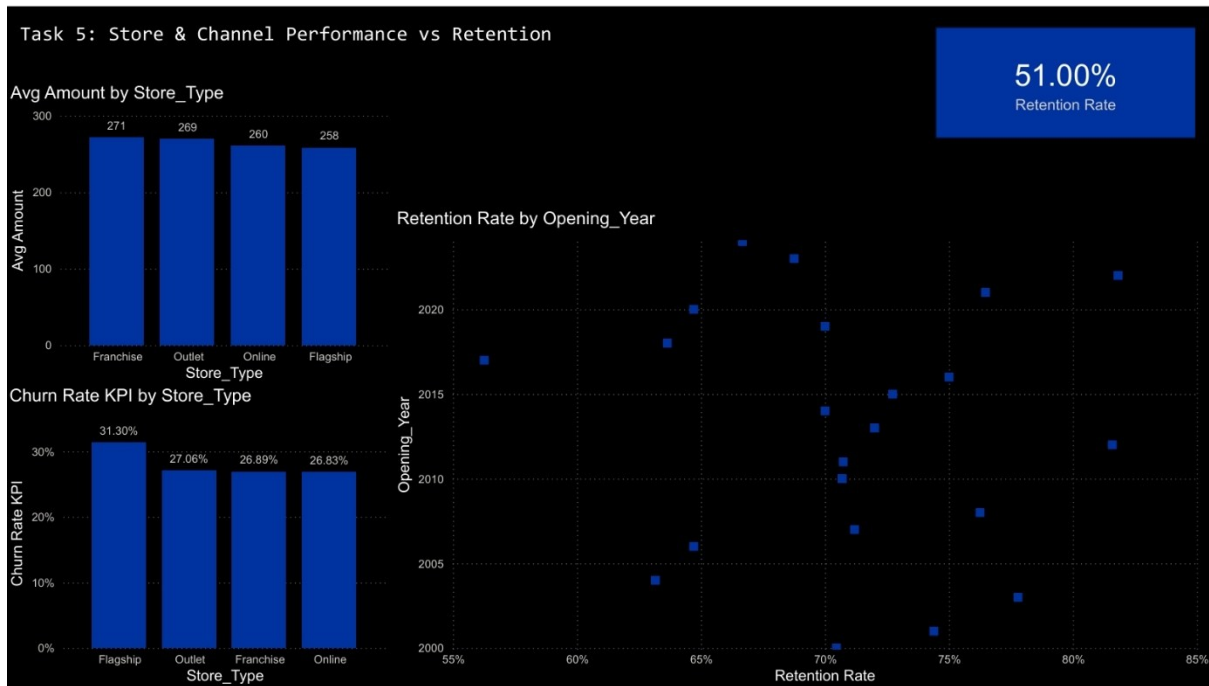
Key Insights for task 4 –

- Out of 1000 Transactions, 527 Transactions were after promotion. This makes the Promotion Percentage 52.70%.
- Average Purchase amount is higher with promotions than without promotions.
- Using the points earned vs redeemed points by tier chart, it's found that the points aren't being used properly.

Recommendations to improve redemption & retention –

- As we can see from Promotion Percentage (52.70%) and the Average Amount by Promotion Applied Chart, We conclude that with promotions adidas gets more customers, Thus Adidas should focus more on Person-Specific Promotions and offers.
- By Churn Rate KPI by loyalty Tier Chart we can infer that Churn rate in Most Loyal customers(Elite Tier) is very high. Thus, We can say that Elite tier is dissatisfied with the services, offers and promotions provided by Adidas. Thus, We have to improve the services
- By the Sum of Points Earned and Sum of Points Redeemed by Loyalty Tier chart, We can see that the difference between points earned and points redeemed is very high, which means customers haven't been utilizing the points. Thus, Reminder notifications, Better offers using the points, providing more time constraint points (which would expire after certain time period) could increase the redemption rate.

4 Power BI Project Report Task 5: Store & Channel Performance vs Retention –



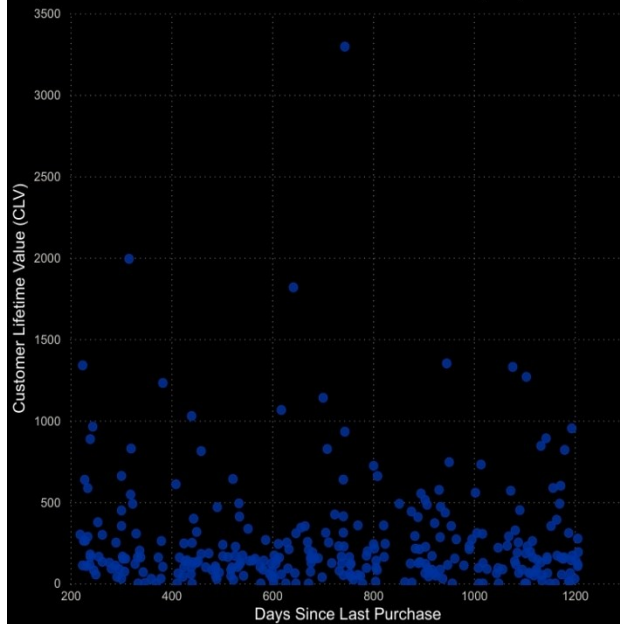
Key Insights for task 5 –

- The Average Amount is pretty stable and close around all the store types, Although Franchise and Outlet types are better than the rest of the types.
- Flagship Type stores have the highest amount of churn rate, rest store types show almost identical churn rate.
- Retention rates remain clustered fairly around 65-75% and has no clear upward or downward trend, this indicates that customer retention is not strongly influenced by time the store was opened

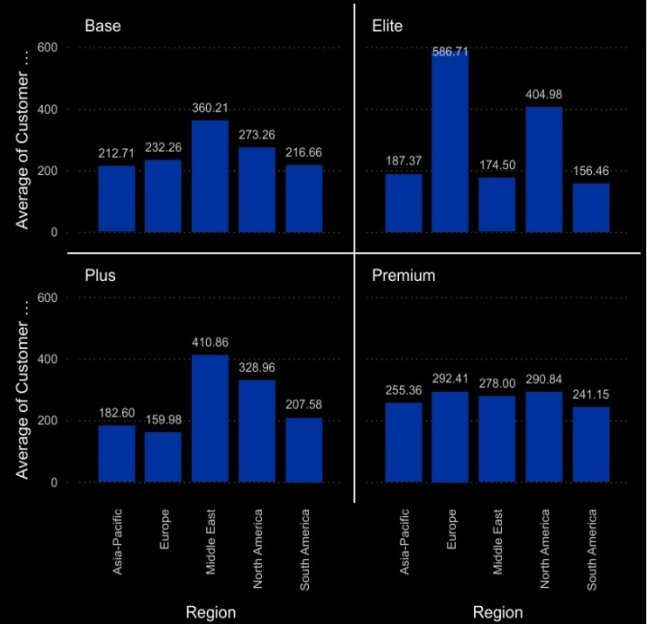
Power BI Project Report Task 6: Customer Lifetime Value (CLV) Analysis Key Insights for task 6 –

Task 6: Customer Lifetime Value (CLV) Analysis

Days Since Last Purchase and Customer Lifetime Value (CLV)



Average of Customer Lifetime Value (CLV) by Region and Loyalty_Tier



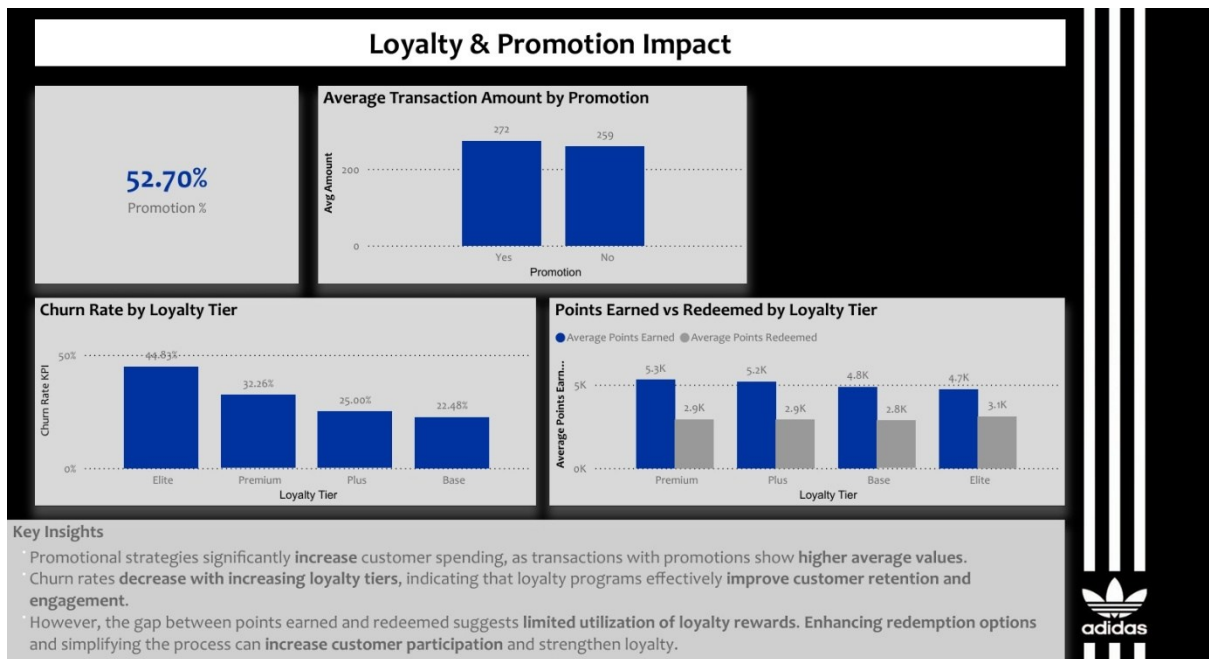
- Average Amount spent by customers is 886.59 and the Average Customer Lifetime Value is 260.62
- Customer Lifetime Value is highly concentrated among a small group of high-value customers, while the majority contribute relatively lower CLV.
- Customers with a higher number of days since last purchase tend to show lower engagement, indicating a higher risk of churn and reduced lifetime value.
- CLV varies across loyalty tiers and regions, with Premium and Base customers contributing higher value in certain regions compared to others.
- A few outliers with very high CLV suggest the presence of high-value customers who significantly impact overall revenue.

Power BI Project Report Task 7: Final Dashboard & Executive Summary –

Page 1: KPIs :



Page 2: Loyalty & Promotion Impact :



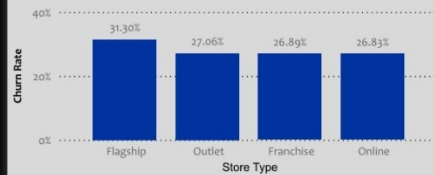
Page 3: Store/Channel Insights :

Store/Channel Insights

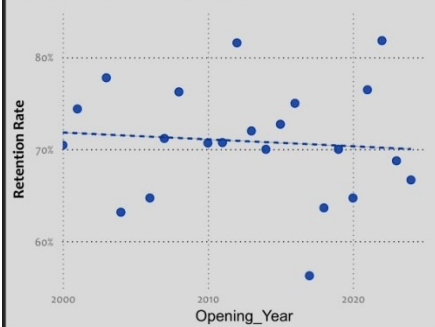
Avg Transaction Amount by Store Type



Churn Rate by Store Type



Retention vs Store Opening Year



Key Insights

- Store analysis shows that Franchise and Outlet stores generate slightly higher average transaction values, indicating stronger purchase behavior in these formats.
- Churn rates are highest for Flagship stores, suggesting potential issues in customer retention for premium store formats.
- The correlation between store opening year and retention indicates that older stores tend to retain customers slightly better, likely due to established customer relationships and brand familiarity.



Page 4: Segmentation :

Segmentation

300

Total Customers

256

Repeat Customers

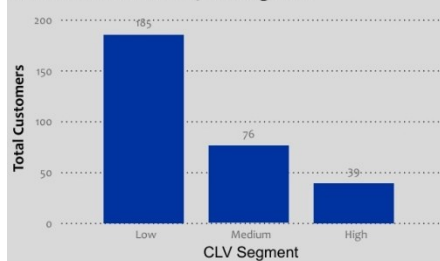
147

Churned Customers

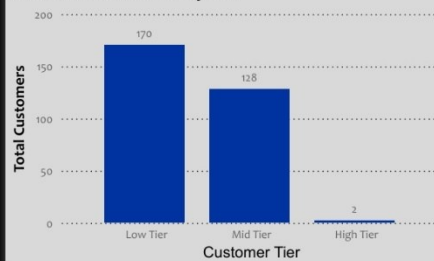
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High Value Customers

Customer Distribution by CLV Segment



Customer Distribution by Tier



Key Insights

- A large proportion of customers are repeat customers, indicating strong engagement and recurring purchase behavior.
- However, most customers fall into the low CLV segment, suggesting that while customers return, their overall value remains limited.
- High-value customers represent a small but critical segment, contributing significantly to revenue and requiring targeted retention strategies.
- Churned customers form a notable portion of the customer base, highlighting the need for improved retention efforts through personalized offers and loyalty incentives.



Top 3 recommendations for Adidas:

Recommendations for Adidas
Customers to prioritize High-value customers (High CLV) and repeat customers should be prioritized for retention, as they contribute significantly to overall revenue and demonstrate strong engagement. Retaining these customers ensures sustained profitability and reduces acquisition costs.
Underperforming Channels Flagship stores are underperforming in terms of retention, as they show higher churn rates compared to other store types. This indicates a need to improve customer experience, engagement, and value delivery in premium store formats.
Loyalty Program Engagement Loyalty program engagement can be improved by enhancing reward redemption options, simplifying the redemption process, and offering personalized incentives. Encouraging customers to actively use their points will increase participation and strengthen long-term loyalty.

Which customers to prioritize for retention?

High-value customers (High CLV) and repeat customers should be prioritized for retention, as they contribute significantly to overall revenue and demonstrate strong engagement. Retaining these customers ensures sustained profitability and reduces acquisition costs.

Which channels are underperforming?

Flagship stores are underperforming in terms of retention, as they show higher churn rates compared to other store types. This indicates a need to improve customer experience, engagement, and value delivery in premium store formats.

How to strengthen loyalty program engagement?

Loyalty program engagement can be improved by enhancing reward redemption options, simplifying the redemption process, and offering personalized incentives. Encouraging customers to actively use their points will increase participation and strengthen long-term loyalty.